

# The people who trade bonds think interest rates will rise a lot more than the Fed says they will.

Friday's numbers first, then what they mean. Week-on-week changes are against the same day last week.

## 00 The markets board

### SHARES AND FEAR

|                  |           |       |         |
|------------------|-----------|-------|---------|
| S&P 500          | 7,666.45  | -0.5% | 1st Oct |
| Nasdaq Composite | 26,871.60 | -0.3% | 1st Oct |
| Dow Jones        | 50,927    | -0.8% | 1st Oct |
| Nikkei 225       | 68,309    | +2.9% | 2nd Oct |
| VIX (fear meter) | 16.39     | +0.72 | 1st Oct |

### RATES AND LENDERS (CHANGE IN POINTS)

|                      |       |       |          |
|----------------------|-------|-------|----------|
| US 2-year yield      | 4.88% | +0.03 | 30th Sep |
| US 10-year yield     | 5.29% | +0.18 | 30th Sep |
| Risky-company spread | 3.24  | +0.44 | 1st Oct  |

### CURRENCIES

|                            |        |       |          |
|----------------------------|--------|-------|----------|
| Pound in dollars (GBP/USD) | 1.325  | -0.9% | 25th Sep |
| Euro in dollars (EUR/USD)  | 1.140  | -0.6% | 25th Sep |
| Dollars per yen (USD/JPY)  | 157.18 | +0.2% | 25th Sep |
| Swiss francs per dollar    | 0.8282 | +0.5% | 25th Sep |
| Yuan per dollar            | 6.7110 | +0.2% | 25th Sep |
| Broad dollar index         | 120.33 | +0.7% | 25th Sep |

### COMMODITIES AND CRYPTO

|                          |        |       |          |
|--------------------------|--------|-------|----------|
| Brent oil, spot (\$/bbl) | 113.96 | -0.8% | 29th Sep |
| WTI oil, spot (\$/bbl)   | 96.16  | -0.3% | 29th Sep |
| Gold (\$/oz)*            | 4,178  | -2%   | 1st Oct  |
| Bitcoin (\$)             | 84,760 | +0.3% | 1st Oct  |

FRED / St. Louis Fed, last available close in each row (dates shown; FRED's currency series runs about a week behind). \*Gold is not on FRED: spot price from Kitco and Refinitiv-based reports, rounded, and the weekly change is approximate (vs about \$4,260 on 24th Sep).

### FUTURES PRICE

What traders agree today to pay for oil delivered in a few months. It is the number most headlines quote.

### SPOT PRICE

What oil costs to be delivered now. When spot sits far above futures, buyers are short of barrels today.

### RISK-FREE RATE

What a government pays you to lend to it, with essentially no chance of loss. Every risky asset is judged against it.

## 01 The big picture

On 16th September the Fed raised its rate to between 3.75% and 4.00%, and pencilled in one more small rise before the year ends. The bond market does not believe that is the end of it.

The cleanest signal is the 2-year yield, what the US government pays to borrow for two years. It trades all day, so it works as a running vote on where rates are going. On 30th September it stood at **4.88%**, almost a full point above where the Fed is today.

Picture a friend texting "ten minutes away" while the group chat has already ordered without them. The Fed is the friend. The bond market is the group chat, and it is planning for three or four more rises.



**READING IT** On the left, both yields have climbed since August and sit far above the dashed line, the Fed's own rate. A gap that wide means the market expects the Fed to catch up. On the right, the line is the extra interest that weaker companies pay compared with the government. It